(18)

No. 97-1732

Supreme Court, U.S.
FILED
NOV 10 1998
CLERK

IN THE
Supreme Court of the United States
OCTOBER TERM, 1998

CALIFORNIA PUBLIC EMPLOYEES' RETIREMENT SYSTEM and FLORIDA STATE BOARD OF ADMINISTRATION,
Petitioners,

v.

PAUL FELZEN, *et al.*,
Respondents.

On Writ of Certiorari to the United States Court of Appeals for the Seventh Circuit

---

BRIEF FOR PETITIONERS

MARK C. HANSEN
Counsel of Record
MICHAEL K. KELLOGG
NEIL M. GORSUCH
SEAN A. LEV
KELLOGG, HUBER, HANSEN,
TODD & EVANS, P.L.L.C.
1301 K Street, N.W.
Suite 1000 West
Washington, D.C. 20005
(202) 326-7900
Counsel for Petitioners

WILSON - EPES PRINTING CO., INC. - 789-0096 - WASHINGTON, D.C. 20001

63pp

QUESTION PRESENTED

Whether a shareholder who, pursuant to Federal Rule of Civil Procedure 23.1, is summoned to appear in federal district court and present objections to a proposed dismissal or settlement of a derivative action must also intervene pursuant to Federal Rule of Civil Procedure 24 in order to appeal an adverse decision.

PARTIES TO THE PROCEEDINGS BELOW

The following persons or entities were parties to the proceedings in the court of appeals:

California Public Employees' Retirement System
Florida State Board of Administration
Paul Felzen
Louise Laskin Trust
Sandra Esner
Dwayne O. Andreas
Ralph Bruce
John H. Daniels
Howard G. Buffett
Lowell W. Andreas
James R. Randall
Michael D. Andreas
H.D. Hale
O. Glenn Webb
Martin Andreas
Margaretta Rockefeller
F. Ross Johnson
Ray A. Goldberg
Gaylord O. Coan
John K. Vanier
Shreve M. Archer, Jr.
M. Brian Mulroney
Robert S. Strauss
Archer Daniels Midland Company

PARENT COMPANIES AND NONWHOLLY OWNED SUBSIDIARIES

California Public Employees' Retirement System and Florida State Board of Administration are governmental pension funds that have no parent companies or subsidiaries that have issued shares to the public.

TABLE OF CONTENTS

	Page
QUESTION PRESENTED	i
PARTIES TO THE PROCEEDING BELOW	ii
PARENT COMPANIES AND NONWHOLLY OWNED SUBSIDIARIES	ii
TABLE OF AUTHORITIES	iv
OPINIONS BELOW	1
JURISDICTION	1
RULES AND STATUTE INVOLVED	2
STATEMENT OF THE CASE	2
A. Background and Prior Proceedings	2
B. The Decision Below	9
SUMMARY OF THE ARGUMENT	10
ARGUMENT	13
SHAREHOLDERS WHO APPEAR IN DISTRICT COURT PURSUANT TO RULE 23.1 TO OBJECT TO A DERIVATIVE SUIT SETTLEMENT ARE ENTITLED TO APPEAL THE COURT'S APPROVAL OF THAT SETTLEMENT	13
A. Rule 23.1, This Court's Decisions, and Long-Standing Common Law Tradition Support Objectors' Right To Appeal Settlement Approvals	16
B. None of the Seventh Circuit's Arguments Supports a Requirement That Objectors Intervene in Order To Appeal	22
C. An Intervention Requirement Would Create Significant Disincentives to Objector Participation Without Serving any Countervailing Purposes	32
CONCLUSION	40

TABLE OF AUTHORITIES

Cases — Page

Ackerman v. Kassar, No. 91-56521, 1993 U.S. App. LEXIS 22074 (9th Cir. Aug. 26, 1993) 37, 38
Ackert v. Ausman, 217 F. Supp. 934 (S.D.N.Y. 1963) 16
Angoff v. Goldfine, 270 F.2d 185 (1st Cir. 1959) 26
Attorney General v. North Am. Life Ins. Co., 77 N.Y. 297 (1879) 19
Baldwin-United Corp., In re, 770 F.2d 328 (2d Cir. 1985) 26
Bayard v. Lombard, 50 U.S. (9 How.) 530 (1850) 25
Bell Atlantic Corp. v. Bolger, 2 F.3d 1304 (3d Cir. 1993) .... *passim*
Centocor, Inc. Sec. Litig., In re, No. 92-CV1071, 1993 U.S. Dist. LEXIS 7229 (E.D. Pa. June 2, 1993) 38
Chambers Dev. Sec. Litig., In re, 912 F. Supp. 822 (W.D. Pa. 1995) 38
Christian v. R. Hoe & Co., 63 F.2d 218 (2d Cir. 1933) 21
Class Plaintiffs v. City of Seattle, 955 F.2d 1268 (9th Cir.), *cert. denied*, 506 U.S. 953 (1922) 25
Cockburn v. Thompson, 16 Ves. Jun. 321, 33 Eng. Rep. 1005, 1007 (Ct. Ch. 1809) 20
Ex parte Cockcroft, 104 U.S. 578 (1882) 25
Cohen v. Beneficial Indus. Loan Corp., 337 U.S. 541 (1949) 13, 18
Cohen v. Young, 127 F.2d 721 (6th Cir. 1942) 16, 21, 32
Commercial Sec. Bank v. Walker Bank & Trust Co., 456 F.2d 1352 (10th Cir. 1972) 26
Cramer v. General Tel. & Elecs. Corp., 582 F.2d 259 (3d Cir. 1978) 17
Cunningham v. English, 269 F.2d 539 (D.C. Cir. 1959) 31
Daily Income Fund, Inc. v. Fox, 464 U.S. 523 (1984) 15, 18
Dietrich Corp. v. King Resources Co., 596 F.2d 422 (10th Cir. 1979) 26

TABLE OF AUTHORITIES—Continued

Page

EEOC v. Pan American World Airways, Inc., 897 F.2d 1499 (9th Cir.), *cert. denied*, 498 U.S. 815 (1990) 25
Farmland Dairies v. Commissioner of New York State Dep't of Agric. & Markets, 847 F.2d 1038 (2d Cir. 1988) 34
Ficalora v. Lockheed Cal. Co., 751 F.2d 995 (9th Cir. 1985) 34
Fields v. Blum, 629 F.2d 825 (2d Cir. 1980) 26
First Investors Corp. Sec. Litig., In re, No. 90 Civ. 7225, *et al.*, 1993 U.S. Dist. LEXIS 18044 (S.D.N.Y. Dec. 22, 1993) 38
Fischer & Porter v. Tolson, No. 91-7822, 1993 U.S. Dist. LEXIS 11481 (Aug. 18, 1993), *as amended on other grounds*, 1993 U.S. Dist. LEXIS 11481 (E.D. Pa. Oct. 19, 1993) 38
Fleet/Norstar Fin. Sec. Litig., In re, 935 F. Supp. 99 (1996), *opinion supplemented on other grounds*, 974 F. Supp. 155 (D.R.I. 1997) 38
Geller v. Tabas, 462 A.2d 1078 (Del. 1983) 22
General Ins. Co. of Am. v. Eastern Consolidated Utils., Inc., 126 F.3d 215 (3d Cir. 1997) 26
General Tire & Rubber Co. Sec. Litig., In re, 726 F.2d 1075 (6th Cir.), *cert. denied*, 469 U.S. 858 (1984) 35
Giffard v. Hort, 1 Sch. & Lef. 386 (Irish H. Ct. Chy. 1804) 19
Girsh v. Jepson, 521 F.2d 153 (3d Cir. 1975) 16
Goldman v. Northrop Corp., 603 F.2d 106 (9th Cir. 1979) 17
Gottlieb v. Wiles, 11 F.3d 1004 (10th Cir. 1993) 10, 31
Gowdey v. Commonwealth Edison Co., 345 N.E.2d 785 (Ill. Ct. App. 1976) 22
Granada Invs., Inc. v. DWG Corp., 962 F.3d 1203 (6th Cir. 1992) 37, 38
Grand Jury Proceedings, In re, 654 F.2d 268 (3d Cir.), *cert. denied*, 454 U.S. 1098 (1981) 26

TABLE OF AUTHORITIES—Continued

	Page
Hal Roach Studios, Inc. v. Richard Feiner & Co., 896 F.2d 1542 (9th Cir. 1989), *cert. denied*, 498 U.S. 815 (1990)	25
Harkness Apartment Owners Corp. v. FDIC, No. 87 Civ. 7080, 1993 U.S. Dist. LEXIS 10499 (S.D.N.Y. July 30, 1993)	38
Hoxworth v. Blinder, Robinson & Co., 903 F.2d 186 (3d Cir. 1990)	25
ICSC Partners, L.P. v. Kenwood Plaza, L.P., 688 N.E.2d 5 (Ohio Ct. App. 1996)	22
James v. Home Constr. Co. of Mobile, Inc., 689 F.2d 1357 (11th Cir. 1982)	26
Johnson v. Manhattan Ry., 289 U.S. 479 (1933)	11, 21
Jones v. Caddo Parish Sch. Bd., 735 F.2d 923 (5th Cir. 1984)	34
Kamen v. Kemper Fin. Servs., Inc., 500 U.S. 90 (1991)	13
Keith v. Volpe, 118 F.3d 1386 (9th Cir. 1997)	27
Krebs Chrysler-Plymouth, Inc. v. Valley Motors, Inc., 141 F.3d 490 (3d Cir. 1998)	27
Levin v. Mississippi River Corp., 59 F.R.D. 353 (S.D.N.Y.), *aff'd mem.*, 486 F.2d 1398 (2d Cir. 1973)	16
Lipscomb v. Wise, 643 F.2d 319 (5th Cir. 1981)	26
Marino v. Ortiz, 484 U.S. 301 (1988)	*passim*
Marshall v. Holiday Magic, Inc., 550 F.2d 1173 (9th Cir. 1977)	18
Matsushita Elec. Indus. Co. v. Epstein, 516 U.S. 367 (1996)	17
Mitchell v. Lay, 48 F.2d 79 (9th Cir. 1930), *cert. denied*, 285 U.S. 864 (1931)	21
Musick, Peeler & Garrett v. Employees Ins. of Wausau, 508 U.S. 286 (1993)	32
Nathan v. Rowan, 651 F.3d 1223 (6th Cir. 1981)	17
Norwood v. Slammons, 788 F. Supp. 1020 (W.D. Ark. 1991)	26
Osborne v. Usher, 6 Brown's Parliamentary Cases 20 (1721)	20

TABLE OF AUTHORITIES—Continued

	Page
Osher v. SCA Realty I, Inc., 945 F. Supp. 298 (D.D.C. 1996)	38
Papilsky v. Berndt, 466 F.2d 251 (2d Cir.), *cert. denied*, 409 U.S. 1077 (1972)	15, 18
Petersen v. Douglas County Bank & Trust Co., 967 F.2d 1186 (8th Cir. 1992)	26
Pianta v. H.M. Reich Co., 77 F.2d 888 (2d Cir. 1935)	21
Pittsburgh & Lake Erie R.R. Sec. & Antitrust Litig., In re, 543 F.2d 1058 (3d Cir. 1976)	16, 18, 19, 23
Port Drum Co. v. Umphrey, 852 F.2d 148 (5th Cir. 1988)	26
Posen v. Cowdin, 44 N.Y.S.2d 842 (N.Y. App. Div. 1943)	22
Preston v. United States, 284 F.2d 514 (9th Cir. 1960)	26
Prezant v. DeAngelis, 636 A.2d 915 (Del. 1994)	22
Price v. Pelka, 690 F.2d 98 (6th Cir. 1982)	26
Ragsdale v. Turnock, 941 F.2d 501 (7th Cir. 1991), *cert. denied*, 502 U.S. 1035 (1992)	34
Reiter v. Universal Marion Corp., 299 F.2d 449 (D.C. Cir. 1962)	17
Resorts Int'l Shareholder Litig., In re, 570 A.2d 259 (Del. 1990)	22
Rosenbaum v. MacAllister, 64 F.3d 1439 (10th Cir. 1995)	10, 31, 38
Rosenbaum v. MacAllister, No. 91-B-2164 (D. Colo. Feb. 14, 1997)	33, 37
SEC v. Wencke, 783 F.2d 829 (9th Cir.), *cert. denied*, 479 U.S. 818 (1986)	26
Sam Fox Publ'g Co. v. United States, 366 U.S. 683 (1961)	35
Saylor v. Bastedo, 594 F. Supp. 371 (S.D.N.Y. 1984)	16
Searcy v. Philips Elecs. N. Am. Corp., 117 F.3d 154 (5th Cir. 1997)	27
Simons v. Horowitz, 151 Cal. App. 3d 834 (Cal. Ct. App. 1984)	22

TABLE OF AUTHORITIES—Continued

	Page
Stella v. Kaiser, 218 F.2d 64 (2d Cir. 1954)	17
Texaco, Inc. Shareholder Litig., In re, No. 96 Civ. 8343, 1998 U.S. Dist. LEXIS 15027 (S.D.N.Y. Sept. 15, 1998)	38
Thompson v. Freeman, 648 F.2d 1144 (8th Cir. 1981)	26
Tryforos v. Icarian Dev. Co., 518 F.2d 1258 (7th Cir. 1975), *cert. denied*, 423 U.S. 1091 (1976)	9, 22
United States v. Bertoli, 994 F.2d 1002 (3d Cir. 1993)	26
United States v. Hays, 515 U.S. 737 (1995)	23
United States v. International Bhd. of Teamsters, 931 F.2d 177 (2d Cir. 1991)	25
United States v. LTV Corp., 746 F.2d 51 (D.C. Cir. 1984)	18
United States v. Tippett, 975 F.2d 713 (10th Cir. 1992)	26
United States Catholic Conference v. Abortion Rights Mobilization, Inc., 487 U.S. 72 (1988)	26
United States ex rel. Louisiana v. Jack, 244 U.S. 397 (1917)	24, 25, 27
Webcor Elecs. v. Whiting, 101 F.R.D. 461 (D. Del. 1984)	16, 38
West v. Randall, 29 Fed. Cas. 718 (Cir. Ct. D.R.I. 1820)	19
White v. Auerbach, 500 F.2d 822 (2d Cir. 1974)	16
Wolf v. Barkes, 348 F.2d 994 (2d Cir.), *cert. denied*, 382 U.S. 941 (1965)	14
Statutes, Rules, and Legislative Materials	
15 U.S.C. § 78u-4(a)(3)(A)(i)	37
28 U.S.C. § 1254(1)	1
28 U.S.C. § 1291	1, 23, 28
Fed. R. App. P.:	
Rule 1	1
Rule 1(b)	12, 28
Rule 3(c)	12, 28, 29

TABLE OF AUTHORITIES—Continued

	Page
Fed. R. Civ. P.:	
Rule 23	1
Rule 23(e)	30
Rule 23.1	*passim*
Rule 24	*passim*
Rule 24(b)	34
Rule 26(a)(1)	36, 39
H.R. Conf. Rep. No. 104-369 (1995)	37
Other Materials	
Greg Burns, *A Grain of Activism at Archer Daniels Midland*, Bus. Wk., Nov. 6, 1995	4
John A. Byrne, *The Best and the Worst Boards*, Bus. Wk., Nov. 25, 1996	4
Frederic Calvert, *Observations on Suits in Equity* (London, William Benning, 2d ed. 1846)	20
Frederic Calvert, *Parties to Suits in Equity* (London, William Benning, 2d ed. 1847)	20
Steven A. Childress & Martha Davis, *Federal Standards of Review: Trial to the Court* (2d. ed. 1992)	33
John C. Coffee, Jr. *Understanding the Plaintiff's Attorney: The Implications of Economic Theory for Private Enforcement of Law Through Class and Derivative Actions*, 86 Colum. L. Rev. 669 (1986)	13
John C. Coffee, Jr. & Donald E. Schwartz, *The Survival of the Derivative Suit: An Evaluation and a Proposal for Reform*, 81 Colum. L. Rev. 261 (1981)	13
Timothy A. Duffy, Comment, *The Appealability of Class Action Settlements by Unnamed Parties*, 60 U. Chi. L. Rev. 933 (1993)	20
10 *Federal Procedure, Lawyers Edition* (1994)	22
Joseph A. Grundfest & Michael A. Perino, *The Pentium Papers: A Case Study of Collective Institutional Investor Activism in Litigation*, 38 Ariz. L. Rev. 559 (1996)	36

TABLE OF AUTHORITIES—Continued

	Page
2 George D. Hornstein, *Corporation Law and Practice* (1959)	15
Martha Irvine, *Guilty Verdict May Change Plans for Top Management at Agribusiness*, Assoc. Press, Sept. 20, 1998	3
Susanna M. Kim, *Conflicting Ideologies of Group Litigation: Who May Challenge Settlements in Class Actions and Derivative Suits?*, 66 Tenn. L. Rev. —— (publication expected Dec. 1998)	13, 34
Roger Lowenstein, *Corporate Governance's Sorry History*, Wall St. J., Apr. 19, 1996	3
Jonathan R. Macey & Geoffrey P. Miller, *The Plaintiff's Attorney's Role in Class Action and Derivative Litigation: Economic Analysis and Recommendations for Reform*, 58 U. Chi. L. Rev. 1 (1991)	32
5 James W. Moore, *Moore's Federal Practice* (3d ed. 1997)	19
Hon. Jon O. Newman, *A Study of Appellate Reversals*, 58 Brooklyn L. Rev. 629 (1992)	33
Note, *Control over Settlement of Shareholder's Suit*, 54 Harv. L. Rev. 833 (1941)	15
Richard A. Posner, *Economic Analysis of Law* (4th ed. 1992)	13, 14
Preliminary Draft of Proposed Amendments to the Rules of Civil Procedure (1964)	31
Remarks of District Judge Vaughn R. Walker, ABA National Securities Institute (June 5, 1998)	35
Roberta Romano, *The Shareholder Suit: Litigation Without Foundation?*, 7 J.L. Econ. & Org. 55 (1991)	6
Report of the Advisory Committee on Civil Procedure (1937)	18
Joseph Story, *Commentaries on Equity Pleadings* (Little, Brown, 2d ed. 1840)	20

TABLE OF AUTHORITIES—Continued

	Page
Elliott J. Weiss & John S. Beckerman, *Let the Money Do the Monitoring: How Institutional Shareholders Can Reduce Agency Costs in Securities Class Actions*, 104 Yale L.J. 2053 (1995)	36
Charles A. Wright, *et al.*, *Federal Practice and Procedure*:	
Vol. 7A (2d ed. 1986)	30
Vol. 7C (2d ed. 1986 & Supp. 1997)	15, 19, 22, 35
Vol. 15A (2d ed. 1992 & Supp. 1998)	25, 26, 27

IN THE

Supreme Court of the United States

OCTOBER TERM, 1998

No. 97-1732

CALIFORNIA PUBLIC EMPLOYEES' RETIREMENT SYSTEM and FLORIDA STATE BOARD OF ADMINISTRATION,
Petitioners,

v.

PAUL FELZEN, *et al.*,
Respondents.

On Writ of Certiorari to the United States Court of Appeals for the Seventh Circuit

---

BRIEF FOR PETITIONERS

OPINIONS BELOW

The opinion of the court of appeals (Pet. App. 1a-10a) is reported at 134 F.3d 873. The trial court's judgment and order approving the derivative suit settlement (Pet. App. 11a-15a) and the attorneys' fee award (Pet. App. 16a-17a) are not reported.

JURISDICTION

The judgment of the court of appeals was entered on January 21, 1998. The petition for a writ of certiorari was filed on April 21, 1998, and was granted on September 29, 1998. The jurisdiction of this Court rests on 28 U.S.C. § 1254(1).

RULES AND STATUTE INVOLVED

This case involves Federal Rules of Civil Procedure 23, 23.1, and 24; Federal Rules of Appellate Procedure 1 and 3; and 28 U.S.C. § 1291. Those provisions are reproduced in the addendum attached to this brief.

STATEMENT OF THE CASE

The Federal Rules of Civil Procedure recognize the unique interest that shareholders have in the terms under which a derivative suit is settled. Unnamed shareholders in a Rule 23.1 derivative suit are notified of any pending settlement and invited to appear and present their objections in district court. It is well established that they need not intervene pursuant to Rule 24 in order to do so. By virtue of their status as shareholders, they are recognized as *de facto* parties to the derivative action, and they have an absolute right to appear and register any objections without undertaking the significant additional cost and inconvenience required by formal intervention.

The question in this case is whether such a shareholder—summoned to court pursuant to Rule 23.1, but not an intervenor under Rule 24—may appeal an adverse decision on his objections to the settlement by virtue of his recognized status as a *de facto* party. The objecting shareholder has this right as a matter of law, and the facts of this case illustrate why that rule is sensible: a right to appeal is a necessary component of Rule 23.1's right to object.

A. Background and Prior Proceedings

ADM's Price Fixing Scheme. At midnight on June 27, 1995, more than 100 FBI agents raided the corporate headquarters of Archer Daniels Midland ("ADM") and the homes of ADM's top executives. The next day, ADM issued a press release announcing that three separate federal grand juries were investigating whether the company's officers had conspired with rivals to fix prices for citric acid, high fructose corn syrup, and lysine.

The government ultimately amassed overwhelming evidence of illegal and anticompetitive activity by ADM. The FBI obtained audio tapes, video tapes, and documents establishing that ADM executives conspired with at least three Asian companies to set prices and production quotas. Top ADM executives were captured on tape telling their competitors that "the competitor is our friend, and the customer is our enemy." Three executives of the other companies pleaded guilty to the conspiracy and testified that they met several times with ADM executives to set lysine prices and market shares.

On October 15, 1996, ADM pleaded guilty to criminal antitrust charges and paid a $100 million fine, the largest criminal antitrust fine ever imposed. It cost the company another $90 million to settle three civil antitrust lawsuits filed by ADM competitors. Three ADM executives—including Michael Andreas, an ADM executive vice president and the son of Dwayne O. Andreas, ADM's chief executive officer since 1970—were subsequently convicted of price fixing.

Many of ADM's troubles, in the view of shareholders and informed observers, derived from the personal, professional, familial, and financial connections between management and the members of the company's board charged with management oversight. The *Wall Street Journal*, for instance, condemned Dwayne Andreas for "stuff[ing] his board with family and friends and company officers and pa[ying] them more than twice the norm [to serve as corporate directors]." [1] A University of Chicago Business School professor similarly decried the fact that ADM had become essentially a "private fiefdom of the Andreas folks." [2] In October 1995, the California Public Em-

---

[1] Roger Lowenstein, *Corporate Governance's Sorry History*, Wall St. J., Apr. 19, 1996, at C2.

[2] Martha Irvine, *Guilty Verdict May Change Plans for Top Management at Agribusiness*, Assoc. Press, Sept. 20, 1998 (quoting Professor Sam Peltzman).

ployees' Retirement System ("CalPERS") awarded ADM a grade of "F" based on its lack of adherence to accepted corporate governance principles.[3] *Business Week* rated ADM's board the single worst in America.[4]

In response to these criticisms and the federal criminal probe, ADM commissioned a report to propose corporate governance reform measures. But the report, adopted in January 1996, did little to vouchsafe true board independence. While it nominally required for the first time that the board include a majority of independent members, even persons having obvious and substantial financial ties to ADM could qualify as "independent" under the new rules. Indeed, any director could qualify as "independent" so long as ADM did not, in its absolute discretion, consider his or her relationship with the company to be "material."

Many of ADM's major shareholders, including CalPERS and the Florida State Board of Administration ("SBA"), thought this supposed "reform" inadequate. These shareholders submitted a proposal that no one with *any* personal or financial ties to the company could serve as an "independent" director. That proposal was modeled on standards for corporate independence developed by the Council of Institutional Investors (the "Council"). *See* Exh. A (Council standards) to Declaration of Sarah A.B. Teslik (July 3, 1997) (R.83).[5] Although that independ-

---

[3] Greg Burns, *A Grain of Activism at Archer Daniels Midland*, Bus. Wk., Nov. 6, 1995, at 44 (Exh. H to Declaration of Steven F. Benz ("Benz Decl.") (July 3, 1997) (R.82). For the Court's convenience, citations to record materials are identified by title and the corresponding numerical designation on the district court's docket sheet, *e.g.*, R. 82.

[4] John A. Byrne, *The Best and the Worst Boards*, Bus. Wk., Nov. 25, 1996 (Exh. B to Benz Decl. (R.82)).

[5] The Council is an association of more than 100 corporate, public, and union pension funds devoted to addressing their members' investment concerns and to promoting responsible corporate governance rules and procedures. "The first and probably the most central of the Council's policies is its requirement that a majority of a corporation's directors" be independent from *any* potentially compromising relationships to the company they serve. *Id.* ¶ 4.

ence policy has been adopted by nearly 85 percent of all S&P 500 companies (*id.* ¶ 7), it was vehemently opposed by ADM management at the 1996 annual shareholder meeting. Nevertheless, the proposal garnered 41.6 percent of the vote. *Id.* ¶ 10.

The Derivative Lawsuit. In the wake of the federal criminal probe, plaintiffs' lawyers dashed to the courthouse to file shareholder derivative actions against ADM's directors. By May 1996, the suits were consolidated in the Central District of Illinois. The consolidated suit accused ADM's directors of "gross mismanagement" by failing to supervise company employees properly. Am. Compl. ¶ 1 (May 17, 1996) (R.28). Plaintiffs specifically condemned the fact that "a majority of [ADM's directors] are interested and/or lac[k] independence" from the Andreas family (*id.* ¶ 28) and charged that Dwayne Andreas "controlled and dominated the process by which each defendant director was selected for nomination or renomination to the ADM Board" (*id.* ¶ 28(a)(1)).

Plaintiffs sought recovery of the $190 million ADM had been forced to pay in criminal fines and civil settlements. Indeed, plaintiffs' attorneys touted to the Council that "a primary goal of our litigation is to recover for ADM as much of the wasted $190 million as is reasonably and realistically possible." Objections of CalPERS and SBA to Proposed Settlement of Derivative Action (July 2, 1997), Exh. A at 2 (Dec. 15, 1996 letter) (R.81). Plaintiffs' expert opined that total damages to the company were even higher—$250 million or more. Declaration of R. Alan Miller ("Miller Decl.") ¶ 11 (June 30, 1997) (R.75).

Plaintiffs' counsel, however, did almost nothing to prosecute the case. In the over two years the case was pending, there is no record of either side issuing interrogatories, seeking or taking depositions, or propounding third-party subpoenas. Plaintiffs did file a three-page motion to compel production of certain documents. *See* Plaintiffs' Motion to Compel Discovery (July 10, 1996) (R.33). But that motion was never ruled upon and plaintiffs never pressed the issue. *Id.*

What little energy plaintiffs' lawyers expended on this case was in settlement discussions with the insurance company covering ADM and its board members. In the resulting agreement ("Settlement"), reached on May 29, 1997, plaintiffs' attorneys agreed to release "any and all causes of action" against ADM and the director defendants in return for $8 million—just 3.2 percent of the $250 million in claimed damages and less than 4.3 percent of the $190 million ADM paid in fines and compensation to the government and competitors.

Plaintiffs' attorneys, ADM, and the directors then went on to allocate that fund *exclusively* to pay attorneys' fees. Nearly half of the fund was earmarked directly for the attorneys bringing suit.[6] The other half was designated for payment of *future* legal fees to be incurred by ADM in attempting to reform itself.[7] Not one dime was

[6] The parties signed a so-called "free sailing provision" under which defendants agreed not to oppose a fee petition seeking as much as $3.92 million, or 49 percent of the fund, to plaintiffs' counsel. The average fee award in shareholder derivative suits where no monetary settlement is made (effectively the case here) is $287,000. Roberta Romano, *The Shareholder Suit: Litigation Without Foundation?*, 7 J.L. Econ. & Org. 55, 63 (1991). Even in cases where monetary settlements are made to shareholders, fee awards average no more than 24 percent of the settlement amount. *Id.*

[7] Adding to the conflict of interest, plaintiffs' attorneys remained eligible under the Settlement to earn these fees as well.

returned to the corporation for the benefit of shareholders who lost at least $190 million in value as a result of their fiduciaries' misconduct.

Plaintiffs' attorneys claimed that they had extracted corporate governance reform concessions from ADM and that such reforms represented value to shareholders in excess of $158 million. Plaintiffs' Memorandum in Support of Joint Application for Award of Attorneys' Fees and Reimbursement of Expenses at 3, 7-8 (June 30, 1997 (R.73)); Miller Decl. (R.75). In fact, however, plaintiffs' "reform" measures were valueless, simply restating measures ADM had independently adopted a year earlier. For instance, though nominally requiring a majority of "independent" directors, the Settlement, just like the ADM measures adopted a year earlier, permits a director to qualify as "independent" so long as ADM does not consider its relationship with the director to be "material." *See* Declaration of Ann L. Yerger ¶¶ 9-10 (July 3, 1997) (R.81). Plaintiffs' own counsel acknowledged that the Settlement's corporate governance principles were selected precisely because they would not require ADM to change its board *in any way*. *Id.*[8]

The day after executing the Settlement, the plaintiffs' lawyers and ADM filed an agreed written motion seeking approval from the district court. The very same day, the court heard the parties and tentatively approved their deal. In accordance with Rule 23.1's requirement that "notice of the proposed dismissal or compromise shall be given to shareholders," however, the district court ordered the parties to notify all ADM shareholders of the Settlement by mail and directed them to appear if they had any objections. Order Preliminarily Approving Settle-

[8] Even two attorneys whose law firms provide legal services to the company and two executives whose companies or their affiliates do business with ADM qualified under plaintiffs' measure as "outside" directors. *Id.*

ment and Providing for Notice at 3 (May 30, 1997) (R.62) (notice directing "[a]ny shareholder of record of ADM" to "appear and show cause, if he, she or it has any [reason] why the proposed settlement of the derivative claims . . . should or should not be entered thereon"). The court set a deadline of July 3, 1997, for any written objections and scheduled a final hearing for July 7, 1997. *Id.* at 2, 3.

Petitioners, accordingly, had less than four weeks (once they actually received the notice) to review the Settlement notice, hire counsel, obtain and review copies of pleadings in the case, weigh the fairness of the Settlement, draft a brief, and appear in court in Decatur, Illinois. Moreover, plaintiffs did not file their voluminous fee petition until June 30, 1997, leaving petitioners just four days to gain access to, review, analyze, and respond in writing to that document as well.

Petitioners timely submitted their written objections and appeared at the July 7 hearing. They asked the court to reject the Settlement on the grounds that it provided little or no benefit to the corporation: the cash benefit was all to lawyers and was excessive, and the corporate governance "concessions" provided no material benefit to shareholders beyond what ADM had itself adopted a year earlier.[9] Alternatively, petitioners asked the court to order the settling parties to show cause why the corporate governance provisions should not be revised to require adherence to independence standards adopted by 85 percent of major U.S. corporations.

At the conclusion of the hearing—at which no evidence was taken—the district court approved the Settlement.

[9] Petitioners first asked the court to delay the hearing on the ground that petitioners had not been afforded sufficient time to prepare their objections. The court denied that request.

The court also awarded plaintiffs counsel fees of $3.92 million.[10] Petitioners filed a timely notice of appeal.

B. The Decision Below

Before petitioners could be heard on the merits of their appeal, the named shareholder plaintiffs (not joined by ADM or its director defendants) moved to dismiss the appeal. Though the district court had expressly summoned petitioners to participate in this case pursuant to Rule 23.1, plaintiffs argued that CalPERS and SBA could not appeal without also intervening pursuant to Rule 24.

Seventh Circuit law at that time did not require intervention pursuant to Rule 24 as a condition for appealing. As then-Judge Stevens explained in *Tryforos v. Icarian Development Co.*, 518 F.2d 1258 (7th Cir. 1975), *cert. denied*, 423 U.S. 1091 (1976), the law was "clear that a non-party shareholder who appears, pursuant to a Rule 23.1 notice, to present objections to a proposed dismissal or settlement of a derivative action may appeal an adverse decision even though he has not been formally made a party to the action" through intervention under Rule 24. *Id.* at 1263 n.22.

A panel of the Seventh Circuit, however, used this case as a vehicle for overruling *Tryforos* and holding that Rule 24 intervention is a prerequisite to any appeal by an objecting shareholder. Pet. App. 1a-4a. The panel based

[10] Even some of the plaintiffs' attorneys conceded that the fee award was excessive. *See* Memorandum on Behalf of Delaware Plaintiffs in Support of the Proposed Settlement and Award of Fees and Expenses at 1 (June 30, 1997) (R.68) (seeking fee award totaling 33⅓ percent of common fund instead of 49 percent); Hearing Tr. at 98, 102 (July 7, 1997) (R.103) (plaintiffs' counsel arguing that "[w]e don't endorse" "award of up to 49 percent of the fund"; criticizing 49 percent fee award and stating "I think if a notice went out that said that plaintiffs' counsel will apply for what is normally almost understood to be up to a third, you would have a lot fewer objections, maybe CalPERS would have elected not even to object to the fee").

its ruling on language from this Court's intervening *per curiam* opinion in *Marino v. Ortiz*, 484 U.S. 301 (1988). There the Court refused to hear an appeal by nonclass member white police officers concerning a class action settlement between a plaintiff class of black officers and the defendant police administration. In doing so, the Court commented that it is "better practice" to require Rule 24 intervention before hearing such complete strangers to the case on appeal. *Id.* at 304. From that single statement, the court of appeals inferred that shareholders —persons who, unlike the putative appellants in *Marino*, were expressly invited to participate in trial court proceedings under Rule 23.1 and whose rights were necessarily being adjudicated in the derivative action—must always intervene under Rule 24 in order to pursue an appeal.

The Seventh Circuit frankly admitted not only that its decision required reversal of circuit precedent, but also that it was in direct conflict with decisions in other courts of appeals. Pet. App. 2a, 6a-7a. The Third Circuit has rejected the necessity of Rule 24 intervention by shareholders already admitted to the case under Rule 23.1. *Bell Atlantic Corp. v. Bolger*, 2 F.3d 1304 (3d Cir. 1993); *see also Rosenbaum v. MacAllister*, 64 F.3d 1439, 1442 (10th Cir. 1995); *Gottlieb v. Wiles*, 11 F.3d 1004, 1011 (10th Cir. 1993).

SUMMARY OF ARGUMENT

A. The rights of absent shareholders are necessarily adjudicated by any settlement of a derivative action—they are thus, by necessity, *de facto* parties to the case. In recognition of that fact, Federal Rule of Civil Procedure 23.1 mandates that no derivative suit may be settled before all shareholders are notified and given an opportunity to object.

It is undisputed that shareholders may press their objections to a settlement in district court *without* undertaking the burdens associated with intervention. The question here is whether that rule should be turned on its head when a case reaches the appellate level. It should not. The ability of a shareholder to appeal is coterminous with his ability to object in district court. Both stem from the same source—the fact that the shareholder's rights are being adjudicated in the action.

The common law has long recognized that *de facto* parties may appeal without intervening in circumstances like this one. Rule 23.1 was intended to embody, not reject, that common law practice. Indeed, just a few years before the Federal Rules were adopted, this Court expressly concluded that nonparty corporate objectors could appeal a district court's decision in the related context of a receivership. *See Johnson v. Manhattan Ry.*, 289 U.S. 479 (1933). That ruling is bolstered by many federal court decisions both before and after the adoption of the Federal Rules.

B. The Seventh Circuit could identify no constitutional or statutory reason to depart from this established practice, nor does any such reason exist. The circuit court, accordingly, relied nearly exclusively on an extremely broad—and wholly untenable—understanding of a snippet of language from this Court's *per curiam* opinion in *Marino v. Ortiz*. But *Marino* did not involve the rights of shareholders in derivative suits or even of absent class members in the analogous class action context. Rather, it dealt with the rights of strangers to the case who had not been invited to appear in district court and whose rights are nowhere recognized by the Federal Rules. Accordingly, that case does not apply here. Indeed, if the Seventh Circuit's overreading of *Marino* were correct, *no* nonparty could ever appeal, an extremely dubious result that would overrule countless cases and that even respondents do not defend.

The Seventh Circuit's understanding of Federal Rule of Appellate Procedure 3(c) is equally unpersuasive. The title of that rule makes plain that it is concerned only with the formal "content[s] of the notice of appeal," not, as the Seventh Circuit concluded, with the limits of appellate jurisdiction. Indeed, the Federal Rules of Appellate Procedure elsewhere make plain that they are not intended to limit the courts of appeals' jurisdiction. *See* Fed. R. App. P. 1(b). Finally, as with its understanding of *Marino*, the Seventh Circuit's reading of Rule 3(c) would lead to the highly unlikely result that the scores of cases authorizing nonparty appeals in a variety of circumstances were all wrongly decided and must be overruled.

C. In addition to all its other flaws, the Seventh Circuit's holding undermines the central policy behind Rule 23.1—preventing collusive settlements and providing the federal courts with the information necessary to evaluate the adequacy of any proposed agreement. It is far from clear, as a legal matter, that shareholders would be allowed to intervene in order to object to a settlement. Even if they were, however, intervention involves significant burdens—such as drafting the equivalent of a complaint, submitting to the mandatory disclosure requirements of the Federal Rules, and subjecting oneself to depositions, interrogatories, and document requests. The result would be much less participation by dissenting shareholders at both the trial and appellate levels, and more approvals of inadequate and collusive derivative suit settlements—exactly what Rule 23.1 is intended to prevent.

That unfortunate consequence would not be offset by *any* countervailing benefit. Neither the Seventh Circuit nor respondents have identified a legitimate goal that their proffered rule would advance. There is simply no reason to require objecting shareholders—who appear in response to a specific invitation from the Court to show cause why they should not be bound by a settlement—to obtain an additional stamp on their passport before proceeding to the court of appeals.

ARGUMENT

SHAREHOLDERS WHO APPEAR IN DISTRICT COURT PURSUANT TO RULE 23.1 TO OBJECT TO A DERIVATIVE SUIT SETTLEMENT ARE ENTITLED TO APPEAL THE COURT'S APPROVAL OF THAT SETTLEMENT.

The shareholder derivative suit is the "chief regulator of corporate management" in American law. *Cohen v. Beneficial Indus. Loan Corp.*, 337 U.S. 541, 548 (1949). It "protect[s] the interests of the corporation from the misfeasance and malfeasance of faithless directors and managers." *Kamen v. Kemper Fin. Servs., Inc.*, 500 U.S. 90, 95 (1991) (internal quotation marks omitted). Derivative suits, accordingly, are designed to serve the twin goals of compensating the injured corporation and shareholders for managerial wrongdoing and deterring such misconduct in the first instance.[11]

Derivative suits, however, "are uniquely vulnerable to collusive settlements that benefit plaintiffs' attorneys rather than their clients." John C. Coffee, Jr., *Understanding the Plaintiff's Attorney: The Implications of Economic Theory for Private Enforcement of Law Through Class and Derivative Actions*, 86 Colum. L. Rev. 669, 677 (1986). As Judge Posner has explained, plaintiffs' counsel have a strong economic incentive "to offer to settle with the defendant for a small judgment and a large legal fee." Richard A. Posner, *Economic*

---

[11] *See* Susanna M. Kim, *Conflicting Ideologies of Group Litigation: Who May Challenge Settlements in Class Actions and Derivative Suits?*, 66 Tenn. L. Rev. ——, —— (publication expected Dec. 1998); John C. Coffee, Jr. & Donald E. Schwartz, *The Survival of the Derivative Suit: An Evaluation and a Proposal for Reform*, 81 Colum. L. Rev. 261, 302-08 (1981).

Analysis of Law § 21.9, at 570 (4th ed. 1992). On the other side of the table, "such an offer will be attractive to the defendant, provided the sum of the two figures is less than the defendant's net expected loss from going to trial." *Id.* And the shareholder who nominally brought the suit generally has insufficient incentive to police such a settlement. *Id.* This case—where the Settlement represented less than 4 percent of the damage done to the company and *all* of that money was earmarked for attorneys' fees (*see supra* page 6)—is a paradigmatic example of the problem.

Federal Rule of Civil Procedure 23.1 is the judicial and legislative response to this inherent and widely recognized difficulty in derivative litigation. Rule 23.1—which like all the Federal Rules is promulgated by this Court and reviewed by Congress—provides that, before a district court approves any derivative suit settlement, "notice of the proposed . . . compromise shall be given to shareholders."

The Federal Rules thus guarantee all shareholders notice and an opportunity to participate in settlement review proceedings. The rules do so in recognition of the fact that, although a derivative suit may be brought in the name of a single shareholder, absent shareholders are *de facto* parties whose derivative rights will be resolved in the suit as well. *See, e.g., Wolf v. Barkes*, 348 F.2d 994, 996 & n.2 (2d Cir.) (Friendly, J.) (Rule 23.1's "objective" was to ensure that absent shareholders receive notice and may participate before their rights are adjudicated), *cert. denied*, 382 U.S. 941 (1965).

These absent shareholders also play a critical role in ensuring the fairness of any settlement and deterring collusion and abuse. As Professors Wright, Miller, and Kane have explained, Rule 23.1's invitation for objectors to make their views heard in district court "is intended to discourage the private settlement of a derivative claim under which a shareholder-plaintiff and his attorney personally profit to the exclusion of the corporation and the other shareholders." 7C Charles A. Wright, Arthur R. Miller & Mary Kay Kane, *Federal Practice and Procedure* § 1839, at 175 (2d ed. 1986 & Supp. 1997) ("Wright, *et al.*"). Because, at the settlement stage, "judges no longer have the full benefit of the adversarial process," "objectors play an important role by giving courts access to information on the settlement's merits." *Bell Atlantic*, 2 F.3d at 1310.[12]

Pursuant to Rule 23.1, absent shareholders have an absolute right to appear and object to a settlement, without separately intervening pursuant to Rule 24. If their objections are rejected, these shareholders may appeal. The right of such *de facto* parties to appeal was well established at common law, and Rule 23.1 was not intended in any way to depart from that practice. To the contrary, a right to appeal is a critical component of the Rule 23.1 right to object, and a necessary counterpart to Rule 23.1's recognition of the shareholders as *de facto* parties.

By contrast, the Seventh Circuit's newly minted requirement that, as a prerequisite to appeal, objecting shareholders undertake the significant burdens associated with formal intervention has no foundation in Rule 23.1. Nor does it have any basis in the Constitution, the federal statutes governing appellate jurisdiction, or this Court's precedents. Such a requirement would, moreover, discourage shareholder participation in the settlement review process and thus undermine the goals of Rule 23.1, with-

---

[12] *See also Papilsky v. Berndt*, 466 F.2d 251, 258 (2d Cir.), *cert. denied*, 409 U.S. 1077 (1972); Note, *Control over Settlement of Shareholder's Suit*, 54 Harv. L. Rev. 833 (1941); 2 George D. Hornstein, *Corporation Law and Practice* § 727 (1959); *cf. Daily Income Fund, Inc. v. Fox*, 464 U.S. 523, 532 n.7 (1984) ("[T]he provision requiring notice and court approval of settlements [is] also intended to prevent shareholders from suing in place of the corporation in circumstances where the action would disserve the legitimate interests of the company or its shareholders.").

out furthering any countervailing policies. It should be rejected.

A. Rule 23.1, This Court's Decisions, and Long-Standing Common Law Tradition Support Objectors' Right To Appeal Settlement Approvals.

1. As to one crucial point in this case, there is no dispute. It is common ground that Rule 23.1 authorizes shareholders who object to a settlement to appear in *district court* and voice their concerns without undertaking the burdens associated with formally intervening pursuant to Rule 24. That has been the repeated conclusion of the federal courts,[13] and neither the Seventh Circuit, nor the district court, nor any of the respondents here, has suggested that the objectors in this case were required to intervene in order to press their arguments before the district court. On the contrary, respondents expressly *concede* that shareholders "have the option to object [in district court] without seeking to intervene." [14]

---

[13] *See, e.g., In re Pittsburgh & Lake Erie R.R. Sec. & Antitrust Litig.*, 543 F.2d 1058, 1067 (3d Cir. 1976); *Girsh v. Jepson*, 521 F.2d 153, 157, 160 (3d Cir. 1975); *White v. Auerbach*, 500 F.2d 822, 828 (2d Cir. 1974); *Cohen v. Young*, 127 F.2d 721, 724 (6th Cir. 1942); *Saylor v. Bastedo*, 594 F. Supp. 371, 373, 375 & n.3 (S.D.N.Y. 1984); *Ackert v. Ausman*, 217 F. Supp. 934, 936 (S.D.N.Y. 1963); *Webcor Elecs. v. Whiting*, 101 F.R.D. 461, 463 (D. Del. 1984); *Levin v. Mississippi River Corp.*, 59 F.R.D. 353, 367, 373 (S.D.N.Y.), *aff'd mem.*, 486 F.2d 1398 (2d Cir. 1973) (Table).

[14] Felzen Br. in Opp. 11. *See* ADM Directors Br. in Opp. 14 (similarly conceding that shareholders need not intervene in order to object in district court, but contending that, "[i]f a nonparty shareholder seeks involvement beyond that stage, intervention is the obvious next step"); ADM Brief in Opp. 17 ("Shareholder procedural rights have been provided and delineated in Rule 23.1, Federal Rules of Civil Procedure. . . . Objectors *who wish to appeal* need only intervene.") (emphasis added).

This invitation for shareholders to participate in settlement review proceedings is grounded in Rule 23.1's recognition that the rights of all shareholders will necessarily and directly be resolved in the pending derivative suit. Indeed, it is well accepted that the resolution of one derivative action against the corporation precludes any later derivative litigation arising out of the same alleged misconduct.[15] Whether they like it or not, shareholders are *de facto* parties whose rights are being adjudicated by the settlement of any derivative litigation.

Accordingly, objecting shareholders may participate in district court settlement review proceedings simply by responding to the mandatory Rule 23.1 notice; they need not intervene pursuant to Rule 24. Rule 24 is a different mechanism that may give interested shareholders rights to participate as to *other* issues relating to the derivative suit; but intervention pursuant to Rule 24 is not a requirement for those investors to be heard on the specific issue of whether a settlement that would forever bar them from bringing similar claims should be approved.

2. While respondents and the Seventh Circuit concede that Rule 23.1 permits a shareholder to appear and object in the district court—without intervening in the action pursuant to Rule 24—they argue that precisely the opposite is true once a case reaches a federal court of appeals. At the appellate level, in their view, only shareholders who have successfully intervened may seek relief from an erroneous district court decision to approve a derivative settlement.

---

[15] *See, e.g., Nathan v. Rowan*, 651 F.2d 1223, 1226 (6th Cir. 1981); *Goldman v. Northrop Corp.*, 603 F.2d 106, 109 (9th Cir. 1979); *Cramer v. General Tel. & Elecs. Corp.*, 582 F.2d 259, 268 (3d Cir. 1978); *Reiter v. Universal Marion Corp.*, 299 F.2d 449, 452 (D.C. Cir. 1962); *Stella v. Kaiser*, 218 F.2d 64, 65 (2d Cir. 1954). *See also Matsushita Elec. Indus. Co. v. Epstein*, 516 U.S. 367, 379 (1996).

As other courts of appeals have recognized, however, such a rule would ignore the interests of objecting shareholders that Rule 23.1 was intended to protect. As *de facto* parties whose rights have been adjudicated by a derivative suit settlement, objecting shareholders must have a corresponding right to appeal. *See, e.g., In re Pittsburgh & Lake Erie R.R. Sec. & Antitrust Litig.*, 543 F.2d at 1069-70 (nonparties in derivative suit may appeal where their "equity is being diluted," since their "distinctive interests are as worthy of consideration and protection as [party] shareholders"); *United States v. LTV Corp.*, 746 F.2d 51, 54 n.5 (D.C. Cir. 1984) (nonparties may appeal from consent judgments in derivative cases because "judgments in such cases bind shareholders . . . who have received notice of the pendency of the actions").[16]

The Seventh Circuit's rule, moreover, would reverse centuries of established equitable practice that Rule 23.1 was intended to embody, not overturn. When the Federal Rules were drafted in 1938, the Advisory Committee on Civil Procedure made plain that current Rule 23.1 was based on existing law and was not designed to make any substantive changes in that law. Report of the Advisory Committee on Civil Procedure 60 (1937).[17]

---

[16] The same basic rationale permits appeals by objecting class members in a Rule 23 class action. *See, e.g., Marshall v. Holiday Magic, Inc.*, 550 F.2d 1173, 1176 (9th Cir. 1977) (as class members, appellants "legal rights are affected by the settlement" and they may appeal). If anything, the case for the appellate rights of objectors is stronger in the derivative suit context because absent shareholders (unlike absent class members) have no ability to opt-out of the suit. *See infra* pp. 30-31.

[17] Courts and commenters have uniformly recognized that Rule 23.1 was intended to ratify, not change, common law practice. *See Daily Income Fund, Inc. v. Fox*, 464 U.S. at 530 ("[w]hen the Federal Rules were promulgated in 1937," prior law pertaining to derivative shareholder actions was "substantially restated"); *Cohen v. Beneficial Indus. Loan Corp.*, 337 U.S. at 548 (construing Rule 23.1 in light of prior equity rules); *Papilsky v. Berndt*, 466 F.2d 251 (same); *In re Pittsburgh & Lake Erie R.R. Spec. & Antitrust Litig.*, 543 F.2d at 1065 (same); 7C Wright, *et al.*, § 1821, at 9 (2d ed. 1986) ("The modern shareholder derivative action had its origins in equity and the content of Rule 23.1 can be traced to a number of nineteenth century decisions."); 5 James W. Moore, *Moore's Federal Practice*, § 23.1App.100, at 7 (Matthew Bender 3d ed. 1997) ("The principles of Rule 23.1 are not . . . new to federal practice. Indeed, the principles of the rule reach back well into the 19th century, thus predating the passage of the Civil Rules by several decades. When the rules were promulgated in 1937, the provisions of the Equity Rules relating to derivative actions were carried forward as original Rule 23(b)."). (footnotes omitted) (citing Equity Rule 94 (1882)).

Prior equity practice is thus directly relevant to the issue presented in this case.

Courts of equity long ago recognized that where, as here, a person's rights will necessarily be resolved by an equitable proceeding and the person has been summoned or invited to appear in court in response to an official notice, that person has *de facto* party status. Such a person may participate in trial court proceedings—and appeal—*without* undertaking the additional burdens of becoming a party. *See, e.g., Attorney General v. North Am. Life Ins. Co.*, 77 N.Y. 297, 300 (1879) (policyholders who appeared in response to court notice and objected to corporate receivership "were . . . made parties by the notice served on them" and were entitled to appeal even though "[t]here is in strictness no suit to which [they] can be made parties"); *Giffard v. Hort*, 1 Sch. & Lef. 386, 409 (Irish H. Ct. Chy. 1804) (collecting case law establishing that a variety of individuals whose rights were implicated by equitable actions "have been held entitled to re-hear the cause though not parties, because the Decree affected their interest"); *West v. Randall*, 29 Fed. Cas. 718, 723 (C.C.D.R.I. 1820) (No. 17,424) (in cases of "general right," every person affected by the decree need not be made a formal party, but rather may be considered "quasi parties to the record" who never-

theless are entitled to seek relief from the courts "if their rights are jeoparded").[18]

The English legal scholar Frederic Calvert noted in 1846 that the British common law had already provided unnamed class members the right to appeal for over 100 years. Frederic Calvert, *Observations on Suits in Equity* 38 (London, William Benning, 2d ed. 1846) (citing *Osborne v. Usher*, 6 Brown's Parliamentary Cases 20 (H. Ct. Parl. 1721)). Calvert himself defended this right at length: "[T]he privilege of appeal [in class action suits] ought to be given in such a manner as to induce the readiest acquiescence in the system of representation during the earlier part of the suit; for which reason every individual ought, as it appears to me, to . . . have the power of appealing, whether he has been a suitor . . . or by some other person as his representative." *Id.*

On this side of the Atlantic, Joseph Story similarly noted that, where affected individuals are too numerous to appear in court, "they may come in under the decree, and take the benefit of it, or show it to be erroneous, or entitle themselves to a rehearing." Joseph Story, *Commentaries on Equity Pleadings* 96 (Little, Brown, 2d ed. 1840). In sum, as one commentator recently explained after canvassing the centuries of law on this issue, a requirement that absent class members intervene in order to appeal "*has no historical foundation.*" Timothy A. Duffy, Comment, *The Appealability of Class Action Settlements by Unnamed Parties*, 60 U. Chi. L. Rev. 933, 940 (1993) (emphasis added).

---

[18] *See also Cockburn v. Thompson*, 16 Ves. Jun. 321, 326-27, 33 Eng. Rep. 1005, 1007 (Ct. Ch. 1809) ("where it is impracticable to make parties, and yet the Court can by arrangement afterwards introduce the persons, as *Quasi* parties, the Court does not require, that they shall be parties on the record"); Frederic Calvert, *Parties to Suits in Equity* 62 (London, William Benning, 2d ed. 1847) ("Courts of Equity, having adopted the principle of representation in the different forms, which have been mentioned, work it out by treating the persons represented, as if they had been parties. These persons are *quasi* parties on record.").

Even more to the point, in a case decided only a few years before the Federal Rules were promulgated, this Court specifically adopted the principle that *de facto* parties' rights include the right to appeal. In *Johnson v. Manhattan Railway*, 289 U.S. 479, the Court concluded that corporate shareholders who received notice of proceedings involving a proposed temporary receivership were "*entitled*" to appear in district court—and to appeal—without taking any other steps. *Id.* at 495 (emphasis added). The Court cited in support of that proposition two lower court cases, both of which held that persons who appear in the district court in response to express court invitations need not intervene in order to appeal. *Id.* at 495 n.4, citing *Christian v. R. Hoe & Co.*, 63 F.2d 218, 218 (2d Cir. 1933) (shareholder and noteholder who objected to receivership "is rightfully here, like a defendant who is summoned by process of court and after an adverse ruling has the right to appeal"); *Mitchell v. Lay*, 48 F.2d 79, 84-85 (9th Cir. 1930), *cert. denied*, 285 U.S. 864 (1931) (appellant who did not intervene nevertheless entitled to appear and to appeal when he was "brought into court by the process of the court"). *See also Pianta v. H.M. Reich Co.*, 77 F.2d 888, 890 (2d Cir. 1935) ("There is no merit in appellees' contention that the appellant has no standing to appeal because it was not an original party to the suit and has not sought to intervene. The appellant, having appeared in opposition to the order to show cause, is like a defendant who is summoned by process of court and after an adverse ruling has the right to appeal.") (citing *Manhattan Railway* and quoting *Christian*).

In light of the Court's statement in *Manhattan Railway*, it should come as no surprise that, just a few years after the adoption of the Federal Rules, a federal appellate court squarely held that objectors in derivative actions need not intervene to appeal. *See Cohen v. Young*, 127 F.2d at 724 (citing *Manhattan Railway* in holding that objector who did not intervene is nevertheless "entitled as

of right to prosecute the appeal").[19] Indeed, these principles were once so well established that, in 1975, then-Judge Stevens, citing both *Cohen* and *Pianta*, stated unequivocally that "[t]he law is clear that a non-party shareholder who appears, pursuant to a Rule 23.1 notice, to present objections to a proposed dismissal or settlement of a derivative action may appeal an adverse decision even though he has not been formally made a party to the action." *Tryforos*, 518 F.2d at 1263 n.22.

States have also recognized these established common law principles. In particular, both Delaware and New York—States with particular expertise in applying common law principles in the modern corporate context—permit shareholders to appeal a decision approving a derivative suit settlement without intervening. *See Prezant v. DeAngelis*, 636 A.2d 915 (Del. 1994); *In re Resorts Int'l Shareholder Litig.*, 570 A.2d 259 (Del. 1990); *Geller v. Tabas*, 462 A.2d 1078 (Del. 1983); *Posen v. Cowdin*, 44 N.Y.S.2d 842, 843-44 (N.Y. App. Div. 1944); *see also Gowdey v. Commonwealth Edison Co.*, 345 N.E.2d 785, 790-91 (Ill. Ct. App. 1976); *Simons v. Horowitz*, 151 Cal. App. 3d 834, 842-44 (Cal. Ct. App. 1984); *ICSC Partners, L.P. v. Kenwood Plaza, L.P.*, 688 N.E.2d 5, 7-8 (Ohio Ct. App. 1996).

B. None of the Seventh Circuit's Arguments Supports a Requirement That Objectors Intervene in Order To Appeal.

1. Given that Rule 23.1 embodies the common law tradition permitting appeals by *de facto* parties such as

[19] *See also* 7C Wright, *et al.*, *supra*, § 1839, at 182 ("objector to the settlement may appeal the court's approval of the compromise"); 10 *Federal Procedure, Lawyers Edition* § 25:184, at 260 (1994) ("nonparty shareholder who appears, pursuant to an FRCP 23.1 notice, to present objections to a proposed dismissal or settlement of a derivative action may appeal an adverse decision without having been formally made a party to the action").

objecting shareholders, one would expect that the Seventh Circuit would not have departed from this practice without some compelling constitutional or statutory reason.

Yet no such reason exists. There is certainly no constitutional bar to permitting appeals by objecting shareholders. To have Article III standing, a person must be injured, the injury must be caused by the action at issue, and the injury must be redressable by a favorable judicial judgment. *See United States v. Hays*, 515 U.S. 737, 743 (1995). In this case, shareholders are injured when the value of their investment is reduced. That injury is caused by the district court's decision to approve a settlement that does not obtain sufficient compensation for wrongs done to the corporation. And the injury may be redressed by a court of appeals' decision reversing the district court's judgment. Indeed, Judge Easterbrook, writing for the Seventh Circuit, conceded that petitioners had standing to appeal. *See* Pet. App. 7a ("Standing means injury in fact, and a reduction in the market price of one's stock is injury.").

Nor is there any statutory basis for dismissing this appeal. The federal statute governing appeals from final district court judgments, 28 U.S.C. § 1291, simply provides that: "The courts of appeals (other than the United States Court of Appeals for the Federal Circuit) shall have jurisdiction of appeals from all final decisions of the district courts of the United States." Thus, the relevant federal statute provides no grounds to deprive petitioners of the rights historically granted to them.

2. Unable to find a constitutional or statutory basis for its rule, the Seventh Circuit rested its decision on a vast overreading of language from this Court's *per curiam* opinion in *Marino v. Ortiz*, 484 U.S. 301 (1988)—a decision that did not involve the rights of shareholders or even the related question of the rights of unnamed members of a Rule 23 plaintiff class. In particular, the court of appeals relied on the following three sentences from *Marino*:

> The rule that only parties to a lawsuit, or those that properly become parties, may appeal an adverse judgment, is well settled. . . . The Court of Appeals suggested that there may be exceptions to this general rule, primarily "when the nonparty has an interest that is affected by the trial court's judgment." We think the better practice is for such a nonparty to seek intervention for purposes of appeal.

Id. at 304 (citing *United States ex rel. Louisiana v. Jack*, 244 U.S. 397 (1917) and Federal Rule of Appellate Procedure 3(c)); *see* Pet. App. 1a-2a.

The Seventh Circuit's reliance on *Marino* is misplaced. First, unlike Rule 23.1 objectors, the persons seeking to appeal in *Marino* were not members of the plaintiff class at issue, but outsiders to the proceedings with no right to participate in the district court under Rule 23. More specifically, they were white police officers seeking to challenge a class action settlement between black officers and police authorities. Nothing in *Marino* addressed the appellate rights of persons who *are* members of the class whose rights are directly adjudicated by a judgment entered in the case and who receive a mandatory notice expressly inviting them to participate in trial court proceedings. *See Bell Atlantic*, 2 F.3d at 1308 n.6.[20]

The lone case cited in the pertinent passage of *Marino* confirms the limited nature of *Marino*'s holding—and its inapplicability here. *United States ex rel. Louisiana v. Jack* involved a land dispute between a state agency and a landowner. The State of Louisiana sought to participate in the proceedings. The Court held the State not a proper party and explained that "it has long been the law" that only "part[ies] *and priv*[*ies*] *to the record*" may appeal an adverse decision, though even to this rule the Court acknowledged some "exceptions." 244 U.S. at 402 (emphasis added); *see also Ex parte Cockcroft*, 104 U.S. 578, 579 (1882) (actual parties or ones "treated as such" by trial court may appeal); *Bayard v. Lombard*, 50 U.S. (9 How.) 530, 551 (1850) (parties and privies may appeal). Objecting shareholders are at least "privies to the record" in derivative suits and thus could appeal under the rule stated in *Louisiana* and approved in *Marino*. *See supra* pp. 19-20 (establishing that at common law such persons have been considered "*de facto*" or "*quasi*" parties).

[20] Even as to the strangers to the case at issue in *Marino*, the Court merely purported to establish "better practice," not an exceptionless rule. *See* 484 U.S. at 304.

That the Seventh Circuit's understanding of *Marino* is untenable is further established by the unlikely consequences that would follow from the court of appeals' reading of that case. If *Marino* did *hold* that "only parties to a lawsuit, or those that properly become parties, may appeal" (484 U.S. at 304), an enormous body of settled law would have been overturned by a single phrase in that *per curiam* opinion. Nonparties whose rights are adjudicated by trial court judgments are treated by the federal courts as *de facto* parties and permitted to appeal without intervention in a wide range of circumstances. *See* 15A Wright, *et al.*, *supra*, § 3902.1, at 102 (2d ed. 1992 & Supp. 1998).[21] For instance, federal courts routinely permit nonparty appeals from judgments that bind the nonparty by name. *Id.* at 122 (citing cases).[22] Courts permit nonparty witnesses held

[21] *See id.* at 122 (collecting examples) ("Nonparties need not always go through a formal intervention procedure to achieve standing to appeal. Appeals have been permitted on showings that range from easy cases in which a nonparty is formally addressed by a court order through less clear cases in which a nonparty is significantly affected.").

[22] *See also Class Plaintiffs v. City of Seattle*, 955 F.2d 1268, 1277-78 (9th Cir.), *cert. denied*, 506 U.S. 953 (1992); *United States v. International Bhd. of Teamsters*, 931 F.2d 177, 183-84 (2d Cir. 1991); *Hoxworth v. Blinder, Robinson & Co.*, 903 F.2d 186, 194 n.12 (3d Cir. 1990); *EEOC v. Pan American World Airways, Inc.*, 897 F.2d 1499, 1504 (9th Cir.), *cert. denied*, 498 U.S. 815 (1990); *Hal Roach Studios, Inc. v. Richard Feiner & Co.*, 896 F.2d 1542,

in contempt for refusing discovery to appeal on claims of privilege, lack of personal jurisdiction, and other matters. *See* 15A Wright, *et al., supra,* § 3902.1, at 124.[23] They regularly allow attorneys and expert witnesses to appeal district court denials of fees. *See* 15A Wright, *et al., supra,* at 126 & n.45.[24] And non parties obligated to reimburse the defendant for amounts paid under the trial court's judgment are also heard on a routine basis. *See* 15A Wright, *et al., supra,* § 3902.1 at 127 & n.47.[25]

Faced with this enormous body of contrary case law, even respondents have declined to defend the Seventh Circuit's understanding that *Marino* stands for the bald

1546-47 (9th Cir. 1989), *cert. denied*, 498 U.S. 815 (1990); *SEC v. Wencke*, 783 F.2d 829, 834 (9th Cir.), *cert. denied*, 479 U.S. 818 (1986); *In re Baldwin-United Corp.*, 770 F.2d 328, 335 (2d Cir. 1985); *In re Grand Jury Proceedings*, 654 F.2d 268, 270-71 (3d Cir.), *cert. denied*, 454 U.S. 1098 (1981); *Thompson v. Freeman*, 648 F.2d 1144, 1147 n.5 (8th Cir. 1981); *Commercial Sec. Bank v. Walker Bank & Trust Co.*, 456 F.2d 1352, 1354 (10th Cir. 1972).

[23] *See also United States Catholic Conference v. Abortion Rights Mobilization, Inc.*, 487 U.S. 72, 76 (1988); *General Ins. Co. of Am. v. Eastern Consolidated Utils., Inc.*, 126 F.3d 215, 218 (3d Cir 1997); *United States v. Bertoli*, 994 F.2d 1002, 1012 (3d Cir. 1993); *Petersen v. Douglas County Bank & Trust Co.*, 967 F.2d 1186, 1188 (8th Cir. 1992); *Port Drum Co. v. Umphrey*, 852 F.2d 148, 150 n.2 (5th Cir. 1988); *Norwood v. Slammons*, 788 F. Supp. 1020, 1024 (W.D. Ark. 1991).

[24] *See also United States v. Tippett*, 975 F.2d 713, 718 (10th Cir. 1992); *Price v. Pelka*, 690 F.2d 98, 102 (6th Cir. 1982); *James v. Home Constr. Co. of Mobile, Inc.*, 689 F.2d 1357, 1359 (11th Cir. 1982); *Lipscomb v. Wise*, 643 F.2d 319, 320-21 (5th Cir. 1981); *Dietrich Corp. v. King Resources Co.*, 596 F.2d 422, 424 (10th Cir. 1979); *Preston v. United States*, 284 F.2d 514, 515 n.1 (9th Cir. 1960); *Angoff v. Goldfine*, 270 F.2d 185, 186 (1st Cir. 1959).

[25] *See also Fields v. Blum*, 629 F.2d 825, 827 (2d Cir. 1980) (order enjoining reduction of welfare benefits by city official could be appealed by State, since State was legally required to reimburse city for payments and controlled both the activities complained of and the conduct of local officials).

proposition that "only parties may appeal." Pet. App. 3a. Respondents' alternative understanding of *Marino*—an understanding that has no basis in the text of that decision—is that an ill-defined, but limited subset of nonparties who are "personally addressed" by trial court orders may also appeal. *See* ADM Br. in Opp. 14 n.6; ADM Directors Br. in Opp. 17. Respondents have cited no decision from any court establishing such a rule, and we are not aware of any.

Indeed, the limited scope of respondents' proffered rule is inconsistent with common law practice permitting unnamed class members to appeal (*see supra*); with this Court's long-standing jurisprudence allowing *all* "priv[ies] to the record" to appeal (*Louisiana*, 244 U.S. at 402); and with federal appellate practice, which has routinely permitted unnamed privy nonparty appeals. *See, e.g., supra* note 25 (unnamed persons legally liable to reimburse defendant for amounts paid in judgment permitted to appeal); 15A Wright, *et al., supra,* § 3902.1, at 122 (named nonparty presents "easiest" but not exclusive case for appeal); *id.* at 126 (though order does not "bind a nonparty by name," the nonparty may appeal when order has "[o]bvious and important effects" on him).[26]

Moreover, even if respondents' rule did have some basis in law, they have thus far failed to explain how it would forbid appeals by shareholders who, like petitioners, have their objections specifically overruled—and thus "person-

[26] Federal court practice on this point is so deeply rooted that several courts of appeals have established a three-part standing test governing the general question whether nonparties may appeal. *See, e.g., Krebs Chrysler-Plymouth, Inc. v. Valley Motors, Inc.*, 141 F.3d 490, 496 (3d Cir. 1998); *Searcy v. Philips Elecs. N. Am. Corp.*, 117 F.3d 154, 157-58 (5th Cir. 1997); *see also Keith v. Volpe*, 118 F.3d 1386, 1391 (9th Cir. 1997).

ally addressed"—by the trial court order approving the settlement.[27]

3. Beyond *Marino*, the only other authority the Seventh Circuit cited to support its decision to bar all nonparty appeals is Federal Rule of Appellate Procedure 3(c). Pet. App. 2a. Rule 3(c), the panel noted, provides that "[a] notice of appeal must specify the *party or parties* taking the appeal by naming each appellant in either the caption or the body of the notice of appeal" (emphasis added). Since no party is taking the appeal here, the Seventh Circuit reasoned, it must be improper under Rule 3(c). *Id.*

Rule 3(c) cannot come close to bearing the weight that the Seventh Circuit placed upon it. Again, the Seventh Circuit's reading of Rule 3(c) would bar not just nonparty shareholder appeals, but *all* nonparty appeals —an improbable result that would effectively overrule innumerable decisions, from both before and after Rule 3(c), that had never before been controversial. *See supra* notes 20-26. As noted, that action would be so extraordinary that even respondents do not urge it here.

In any event, contrary to the Seventh Circuit's conclusion (Pet. App. 7a), the Federal Rules of Appellate Procedure are *not* intended to limit the jurisdiction of the courts of appeals over appeals from final district court judgments; that is the function of Article III and section 1291, neither of which poses any obstacle to appeal here. Federal Rule of Appellate Procedure 1(b) states in no uncertain terms that "[t]hese rules *shall not be construed to extend or limit the jurisdiction of the courts of appeals*

---

[27] *See* Hearing Tr. 79 (July 7, 1997) (R.103) ("All right. The court's ready to rule. Having heard the remarks of the proponents of the settlement and the remarks of those in opposition [*i.e.*, petitioners], the court concludes that the settlement, which is before the court is fair, reasonable, and adequate.").

as established by law" (emphasis added). The Seventh Circuit's reliance on Rule 3(c) in this context cannot be squared with the plain language of that Rule.

Consistent with the principle that Rule 3(c) does not limit the courts of appeals' jurisdiction, the language of that provision does not even purport to delineate who is eligible to appeal. Rather, as its title suggests, Rule 3(c) is concerned only with the formal "*content*[*s*] of the notice of appeal" filed by otherwise eligible appellants (emphasis added). Rule 3(c) simply ensures that sufficient information appears on the face of the notice for the court of appeals to discern the issues and litigants before it:

> (c) *Content of the Notice of Appeal.*—A notice of appeal must specify the party or parties taking the appeal by naming each appellant in either the caption or the body of the notice of appeal. An attorney representing more than one party may fulfill this requirement by describing those parties with such terms as "all plaintiffs," "the defendants," "the plaintiffs A, B, et al.," or "all defendants except X." . . .

Fed. R. App. P. 3 (c).

Nor is there any indication that Rule 3(c)'s drafters ever intended it to exclude the possibility of nonparty appeals. To the contrary, the 1967 advisory committee notes indicate that the Rule "merely restate[s], in modified form, provisions now found in the civil and criminal rules . . . and decisions under the present rules which *dispense with literal compliance in cases in which it cannot fairly be exacted should control interpretation of these rules.*" Fed. R. App. P. 3(c) 1967 advisory committee note (emphasis added). The 1979 advisory committee notes reemphasize the same point. *See id.* 1979 advisory committee note ("so long as the function of notice is met by the filing of a paper indicating an inten-

tion to appeal, the substance of the rule has been complied with").[28]

4. The Seventh Circuit's final argument is that the case for allowing appeals from settlement approvals by objecting shareholders in Rule 23.1 actions is weaker than the case (which the Seventh Circuit had already rejected) for allowing such appeals by unnamed class members in Rule 23 actions. *See* Pet. App. 4a-5a.

As an initial matter, the premise of that argument—that objecting class members cannot appeal—is itself wrong. In any event, the unfavorable comparison between objecting shareholders and unnamed class members is directly at odds with the judicial and legislative judgment that the two groups should be granted the same rights. The language of Rule 23.1 tracks the language of Rule 23(e) granting class members the right to object to proposed settlements.[29] Until 1966, when Rule 23.1 was broken out into a separate rule, derivative actions were considered a form of class actions governed by what was then Rule 23(b). 7A Wright, *et al.*, *supra*, § 1752, at 18 (1986). And, as the identity of the language used by Rules 23(e) and 23.1 suggests, that division was in no way intended to grant lesser rights to objecting shareholders than objecting class members. On the contrary, in proposing this change, the

[28] The fact that Rule 3(c) was not intended to preclude appeals by nonparties is further underscored by Rule 3(b), which speaks simply of "*persons* . . . entitled to appeal from a judgment or order of a district court." (emphasis added).

[29] *Compare* Rule 23(e) ("A class action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to all members of the class in such manner as the court directs.") *with* Rule 23.1 ("The action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to shareholders or members in such manner as the court directs.").

Advisory Committee specifically noted that the "mandatory notice" requirement contained in old Rule 23 "was *primarily directed* to derivative actions by shareholders" and was "continued for such actions by Rule 23.1." Preliminary Draft of Proposed Amendments to the Rules of Civil Procedure 114 (1964) (citing *Cunningham v. English*, 269 F.2d 539 (D.C. Cir. 1959)) (emphasis added).

Similarly, the Seventh Circuit's suggestion that individual shareholders, unlike individual class members, are not "injured part[ies]" who are "entitled to litigate" these issues simply reverses the judgment reflected on the face of Rule 23.1. Pet. App. 5a. By explicitly authorizing derivative suits by aggrieved shareholders, Rule 23.1 confirms that shareholders *are* sufficiently injured by corporate action to invoke the jurisdiction of the federal courts. Put differently, what Rule 23.1 does is precisely to grant shareholders an "entitle[ment]" to litigate in federal court, subject only to the specific safeguards enumerated in the Rule itself.

Moreover, because *all* investors will be bound by the result in the action being settled, each investor's rights will necessarily be implicated by a decision to approve the settlement and each investor's entitlement will thus be affected. In this respect, the case for allowing shareholders to appeal is *stronger* than that for class members, because shareholders do not have the option available to many unnamed class members of opting-out of a settlement they do not believe is fair. *See Gottlieb*, 11 F.3d at 1011 (concluding that case for Rule 23.1 nonparty appeals was more persuasive because "there is no opt-out provision in shareholder derivative suits"); *Rosenbaum v. McAllister*, 64 F.3d at 1442 (same).[30]

[30] The Seventh Circuit's suggestion that shareholders can obtain relief by altering the composition of the corporate board of directors (Pet. App. 5a) ignores the fact that derivative suits are a mecha-

C. An Intervention Requirement Would Create Significant Disincentives to Objector Participation Without Serving any Countervailing Purposes.

Objecting shareholders play a critical role in ensuring the fairness of derivative suit settlements. Once plaintiffs' counsel and the defendants have reached a tentative settlement, their strong common interest is in obtaining approval for that settlement. Settlement hearings thus frequently devolve into "jointly orchestrated" "pep rallies" in which no party questions the fairness of the settlement. Jonathan R. Macey and Geoffrey P. Miller, *The Plaintiff's Attorney's Role in Class Action and Derivative Litigation: Economic Analysis and Recommendations for Reform*, 58 U. Chi. L. Rev. 1, 46 (1991).

Only objecting shareholders can give a federal court the benefit of an adversarial presentation as to whether a particular settlement is "fair and adequate" and thus should be approved. *See Bell Atlantic*, 2 F.3d at 1310 ("[o]bjectors play an important role by giving courts access to information on the settlement's merits," especially because "judges no longer have the full benefit of the adversarial process"); *Cohen v. Young*, 127 F.2d at 725 (nonparty shareholder participation is crucial so "that the court may have the full benefit of that broader information which comes from receiving advice as to the views of all parties concerned").[31]

---

nism for obtaining relief when a *minority* of shareholders cannot spur a board to act and thus must seek other means of redress. *See* Rule 23.1 (mandating that derivative plaintiff demonstrate that it has made a demand on the board and explain the reason for "plaintiff's failure to obtain . . . action" from the board).

31 Objecting shareholders also serve the additional function of providing needed information to financial markets. *Cf. Musick, Peeler & Garrett v. Employees Ins. of Wausau*, 508 U.S. 286, 296 (1993) (explaining that SEC Rule 10(b)(5) serves valuable goals of deterring fraud and "ensur[ing] full disclosure of information

Objecting shareholders perform this same function on appeal. Requiring intervention as a prerequisite for such appeals would dramatically decrease their number and thereby impair the ability of objecting shareholders to serve the recognized public function of exposing, defeating, and deterring collusive or inadequate settlements. Yet neither respondents nor the Seventh Circuit have identified *any* benefit from such a judicially manufactured rule.

1. There is no question that objecting shareholders serve an important function on appeal. Appellate review is an essential component of shareholder participation because it provides a strong incentive for district courts to consider shareholder objections fully and a direct avenue for correcting district court errors. *See* Hon. Jon O. Newman, *A Study of Appellate Reversals*, 58 Brooklyn L. Rev. 629, 633 (1992) (reporting reversal rate in civil cases of 27 percent); Steven A. Childress & Martha Davis, *Federal Standards of Review: Trial to the Court* § 2.14, at 2-103 (2d ed. 1982) (reporting civil reversal rate of approximately 16 percent for 1988-1989).

Shareholder appeals in particular have yielded tangible benefits for the corporation. For example, the court of appeals in *Rosenbaum, supra*, held that nonparty shareholders could appeal attorney fee awards and remanded for reconsideration of the $2.6 million fee award. "As a direct result," the district court subsequently ordered $1.4 million returned to the corporation. Order, *Rosenbaum v. McAllister*, Civil Case No. 91-B-2164 (D. Colo. Feb. 14, 1997). *See also In re Pittsburgh & Lake Erie*

---

material to investment decisions"). Adversarial scrutiny by objectors provides information necessary for market participants to assess rationally the real economic value of any settlement to the company and its stock. For instance, in this case, objecting shareholders exposed the speciousness of plaintiffs' claims that they had added $158 million in value through corporate governance reforms. *See supra* p. 7.

R.R. Sec. Antitrust Litig., 543 F.2d 1058 (holding that settlement's diversion of value from the corporation to the plaintiffs and their attorneys was so egregiously unfair that district court's approval constituted an abuse of discretion); *Ficalora v. Lockheed California Co.*, 751 F.2d 995, 997 (9th Cir. 1985) (remanding case for "reasoned judgment" that the settlement "is not the product of fraud or overreaching by, or collusion among, the negotiating parties").

2. There is also no question that requiring intervention would sharply curtail, if not eliminate, shareholder appeals and correspondingly impair the public functions they serve. The legal hurdles to intervention by objecting shareholders at the settlement phase are daunting. Rule 24(b) requires motions to intervene to be "timely." Under existing case law, there is a presumption that motions made after a tentative settlement has been reached fail that test.[32] And that is not a problem that is within the power of dissenting shareholders to fix. Shareholders are first notified of an ongoing derivative lawsuit under Rule 23.1 only *after* a settlement has been struck. *See* Fed. R. Civ. P. 23.1.[33] "Thus, even if they were to request intervention immediately after learning of the litigation . . . the court might very well find their request to be 'untimely.'" Kim, 66 Tenn. L. Rev. at ——.

Unnamed shareholders seeking to intervene under Rule 24(a) must also convince the district court that their inter-

[32] *See, e.g., Ragsdale v. Turnock*, 941 F.2d 501, 504 (7th Cir. 1991) ("[t]he prejudice to the present parties . . . is obvious and substantial"; "'intervention at this time would render worthless all of the parties' painstaking negotiations'"), *cert. denied*, 502 U.S. 1035 (1992); *Farmland Dairies v. Commissioner of New York State Dep't of Agric. & Markets*, 847 F.2d 1038, 1043-44 (2d Cir. 1988); *Jones v. Caddo Parish Sch. Bd.*, 735 F.2d 923, 926 (5th Cir. 1984).

[33] The settlement in this case had already been tentatively "approved" by the district court before notice was provided. *See supra* p. 7.

ests are not "adequately represented" by the existing named shareholders. *Id.* at —. Yet, in allowing the action to proceed pursuant to Rule 23.1, the court has necessarily already found that the named shareholder-plaintiff *does* "adequately represent" the interests of shareholders generally. *Id.* In such circumstances, "representation will be presumed adequate" and intervention virtually impossible. 7C Wright, *et al.*, *supra*, § 1909, at 324; *cf. Sam Fox Publ'g Co. v. United States*, 366 U.S. 683, 691-92 (1961). Indeed, some lower courts have suggested that, as a matter of law, objecting shareholders' interests are "adequately protected" by shareholder-plaintiffs. *See In re General Tire & Rubber Co. Sec. Litig.*, 726 F.2d 1075, 1087 (6th Cir.), *cert. denied*, 469 U.S. 858 (1984).

3 Even if objecting shareholders could (somehow) clear the legal hurdles to intervention, they would still face enormous practical disincentives. Indeed, there are *already* significant financial disincentives to shareholder participation of any sort. Objectors receive no direct financial compensation for their activities, and no guarantee of lucrative attorneys' fees awards even if they succeed in convincing a court not to approve a settlement. They participate in derivative proceedings only for whatever incremental *pro rata* value might accrue to their individual stock holdings as a result of their efforts. *Bell Atlantic*, 2 F.3d at 1309 ("shareholders . . . lack the incentive . . . to police settlements [because] the costs of policing typically outweigh any *pro rata* benefits to the shareholder"). Meanwhile, objectors shoulder the substantial costs of hiring counsel, analyzing settlement materials, filing written objections, and appearing in court, all within a matter of days or weeks. Even the largest institutional shareholders only rarely have the incentive—and the means —to participate. *See* Remarks of District Judge Vaughn R. Walker, ABA National Securities Litigation Institute at 7-8 (June 5, 1998) ("[I]nstances of institutional investors actively leading a [securities class] litigation effort remain relatively rare. . . . This is no surprise. . . . [I]n-

stitutional investors have disincentives to becoming [parties]. . . . Lawsuits are costly in time, money and other resources.").

Requiring intervention would extinguish even the modest incentives that now exist for shareholder appeals. Shareholders wishing to preserve a right to appeal would face the added financial burden of drafting a pleading the equivalent of a complaint (expressly required by Rule 24) and litigating the timeliness of their motion and the adequacy of existing representation. They would also face all the costs and burdens associated with party status, including wide-ranging Rule 26(a)(1) automatic disclosure duties and the obligation to respond to interrogatories, appear for depositions, and answer virtually unlimited demands for documents.[34]

In addition, shareholders who receive notice under Rule 23.1 would be forced to make a snap decision (within four weeks here) not just whether to participate, but also whether to accept the burdens associated with party status. Institutional shareholders—those who are the most likely to have enough at stake to make participation economical—simply cannot make such decisions that quickly, because of the need to consult their boards of directors. *See* Weiss & Beckerman, 104 Yale L.J. at 2100 ("[l]ack of timely notice makes it difficult for institutional investors to participate in class actions"). Indeed, Congress has expressly recognized that such quick

[34] *Cf.* Joseph A. Grundfest & Michael A. Perino, *The Pentium Papers: A Case Study of Collective Institutional Investor Activism in Litigation*, 38 Ariz. L. Rev. 559, 562 (1996) ("[f]ormal participation and its attendant litigation cost and risk may . . . be an unnecessarily complex and expensive means for institutional investors to express their views on the merits of class action or derivative litigation"); Elliott J. Weiss & John S. Beckerman, *Let the Money Do the Monitoring: How Institutional Shareholders Can Reduce Agency Costs in Securities Class Actions*, 104 Yale L.J. 2053, 2103-05 (1995) (discussing barriers imposed by intervention).

deadlines make institutional shareholders participation unduly and undesirably difficult.[35]

4. Respondents fleetingly suggest that requiring intervention as a prerequisite to appeal serves the purpose of weeding out frivolous appeals, thereby enhancing judicial efficiency. ADM Br. in Opp. 18 n.12. But they can present no evidence that the courts of appeals are in need of such protection. The substantial costs associated with objecting and appealing *already* deter meaningful shareholder participation in all but the most obvious cases of abuse.

Petitioners have been able to locate in LEXIS, since 1990, only 12 federal derivative suit settlements, not including this one, that attracted one or more objectors in district court.[36] We have been able to locate (again excluding the instant case) only 4 objector appeals from

[35] In the 1995 Private Securities Litigation Reform Act, Congress expressly recognized that institutional shareholders are the most likely to represent the interests of shareholders generally and thus to prevent collusion, and accordingly changed many of the procedural rules associated with securities class actions to make their participation easier. *See* 15 U.S.C. § 78u-4(a)(3)(A)(i) (requiring notice period after filing of Rule 23 securities class action complaint to allow time for potential lead plaintiffs to come forward); H.R. Conf. Rep. No. 104-369, at 34 (1995) (explaining that "[t]he Conference Committee believes that increasing the role of institutional investors in class actions will ultimately benefit shareholders and assist courts by improving the quality of representation in securities class actions"; decrying fact that "current system often works to prevent institutional shareholders" from participating in class actions; and stating that "the Conference Committee seeks to increase the likelihood that institutional investors will" participate by, *inter alia*, providing sufficiently long notice periods to enable institutional shareholders time to convene their boards and decide to come forward as potential lead plaintiffs).

[36] *See Rosenbaum*, 64 F.3d 1439; *Bell Atlantic*, 2 F.3d 1304; *Granada Invs., Inc. v. DWG Corp.*, 962 F.2d 1203 (6th Cir. 1992); *Ackerman v. Kassar*, No. 91-56521, 1993 U.S. App. LEXIS

Rule 23.1 derivative suit settlements since 1990.[37] Despite decades of common law, federal, and state practice permitting objector appeals, petitioners are unable to locate a single court or commentator complaining about the manageability of objector appeals in derivative suits. There simply is no problem to which the Seventh Circuit's proposed rule is a solution.

In fact, mandating intervention would impose *more* work on the federal courts, not less. The district court would have to litigate and resolve a motion to intervene as well as a settlement hearing. *See Webcor Elecs.*, 101 F.R.D. at 463 (complaining that Rule 24 motion to intervene was "superfluous procedural question" since non-party objector was already an invited Rule 23.1 participant in litigation). If intervention is denied, the court of appeals must still hear an appeal. Its attention is merely shifted to the motion to intervene, and away from the merits of the settlement and the policy goals that objecting shareholder participation was designed to serve.

22074 (9th Cir. Aug. 26, 1998); *In re Texaco, Inc. Shareholder Litig.*, No. 96 Civ. 8343, 1998 U.S. Dist. LEXIS 15027 (S.D.N.Y. Sept. 15, 1998); *Osher v. SCA Realty I, Inc.*, 945 F. Supp. 298 (D.D.C. 1996); *In re Fleet/Norstar Fin. Sec. Litig.*, 935 F. Supp. 99 (1996), *opinion supplemented on other grounds*, 974 F. Supp. 155 (D.R.I. 1997); *In re Chambers Dev. Sec. Litig.*, 912 F. Supp. 822 (W.D. Pa. 1995); *In re First Investors Corp. Sec. Litig.*, No. 90 Civ. 7225, *et al.*, 1993 U.S. Dist. LEXIS 18044 (S.D.N.Y. Dec. 22, 1993); *Fischer & Porter Co. v. Tolson*, No. 91-7822, 1993 U.S. Dist. LEXIS 11481 (Aug. 18, 1993), *amended on other grounds*, 1993 U.S. Dist. LEXIS 14719 (E.D. Pa. Oct. 19, 1993); *Harkness Apartment Owners Corp. v. FDIC*, No. 87 Civ. 7080, 1993 U.S. Dist. LEXIS 10499 (S.D.N.Y. July 30, 1993); *In re Centocor, Inc. Sec. Litig.*, No. 92-CV-1071, 1993 U.S. Dist. LEXIS 7229 (E.D. Pa. June 2, 1993).

[37] *See Rosenbaum*, 64 F.3d 1439; *Bell Atlantic*, 2 F.3d 1304; *Granada Invs., Inc.*, 962 F.2d 1203; *Ackerman*, 1993 U.S. App. LEXIS 22074.

5. Some of the respondents have intimated that the disincentives created by an intervention requirement might be alleviated by judicially created rules mandating that intervention motions always be granted in this particular context and excepting shareholder intervenors from *any* of the normal obligations associated with party status. ADM Br. in Opp. 16; ADM Directors' Br. in Opp. 14-15 & n.2. Shareholders would only need to comply with a procedural formality to protect their right to appeal.

But the Court would have to change Rule 24 intervention law radically for objecting shareholders in order to ensure that an intervention requirement does not undermine the policies of Rule 23.1. The Court would have to make new law on the timeliness of an intervention motion and the adequacy of existing representation. It would also need to absolve shareholders from drafting a pleading the equivalent of a complaint, as well as from Rule 26(a)(1)'s automatic disclosure duties and the various discovery obligations that follow from intervention.

Even if the Court could do all this, the question remains, what would be gained by such a watered-down intervention requirement? The answer is: nothing. No substantive purpose would be served, and the courts would be burdened with needless paperwork, all so that objectors could obtain a stamp on their passport that allows them to proceed to an appellate court. The Court should not take it upon itself to manufacture any such limitation on access to the federal courts of appeals.

There is no constitutional or statutory basis for respondents' proposed intervention requirement. It runs directly contrary to centuries of common law precedent embodied in Rule 23.1 and finds no support anywhere in the Federal Rules or this Court's cases. It would also undermine the important and recognized role of objecting shareholders in exposing collusive settlements. It should be rejected.

CONCLUSION

The Seventh Circuit's order dismissing petitioners' appeal should be reversed.

Respectfully submitted,

MARK C. HANSEN
Counsel of Record
MICHAEL K. KELLOGG
NEIL M. GORSUCH
SEAN A. LEV
KELLOGG, HUBER, HANSEN,
TODD & EVANS, P.L.L.C.
1301 K Street, N.W.
Suite 1000 West
Washington, D.C. 20005
(202) 326-7900
Counsel for Petitioners

November 10, 1998

ADDENDUM

ADDENDUM

28 U.S.C. § 1291. Final decisions of district courts

The courts of appeals (other than the United States Court of Appeals for the Federal Circuit) shall have jurisdiction of appeals from all final decisions of the district courts of the United States, the United States District Court for the District of the Canal Zone, the District Court of Guam, and the District Court of the Virgin Islands, except where a direct review may be had in the Supreme Court. The jurisdiction of the United States Court of Appeals for the Federal Circuit shall be limited to the jurisdiction described in sections 1292(c) and (d) and 1295 of this title.

Federal Rule of Appellate Procedure 1. Scope of Rules and Title

(a) Scope of Rules. These rules govern procedure in appeals to United States courts of appeals from the United States district courts and the United States Tax Court; in appeals from bankruptcy appellate panels; in proceedings in the courts of appeals for review or enforcement of orders of administrative agencies, boards, commissions and officers of the United States; and in applications for writs or other relief which a court of appeals or a judge thereof is competent to give. When these rules provide for the making of a motion or application in the district court, the procedure for making such motion or application shall be in accordance with the practice of the district court.

(b) Rules Not to Affect Jurisdiction. These rules shall not be construed to extend or limit the jurisdiction of the courts of appeals as established by law.

(c) Title. These rules may be known and cited as the Federal Rules of Appellate Procedure.

Federal Rule of Appellate Procedure 3. Appeal as of Right—How Taken

(a) Filing the Notice of Appeal. An appeal permitted by law as of right from a district court to a court of appeals must be taken by filing a notice of appeal with the clerk of the district court within the time allowed by Rule 4. At the time of filing, the appellant must furnish the clerk with sufficient copies of the notice of appeal to enable the clerk to comply promptly with the requirements of subdivision (d) of this Rule 3. Failure of an appellant to take any step other than the timely filing of a notice of appeal does not affect the validity of the appeal, but is ground only for such action as the court of appeals deems appropriate, which may include dismissal of the appeal. Appeals by permission under 28 U.S.C.

§ 1292(b) and appeals in bankruptcy must be taken in the manner prescribed by Rule 5 and Rule 6 respectively.

(b) Joint or Consolidated Appeals. If two or more persons are entitled to appeal from a judgment or order of a district court and their interests are such as to make joinder practicable, they may file a joint notice of appeal, or may join in appeal after filing separate timely notices of appeal, and they may thereafter proceed on appeal as a single appellant. Appeals may be consolidated by order of the court of appeals upon its own motion or upon motion of a party, or by stipulation of the parties to the several appeals.

(c) Content of the Notice of Appeal.—A notice of appeal must specify the party or parties taking the appeal by naming each appellant in either the caption or the body of the notice of appeal. An attorney representing more than one party may fulfill this requirement by describing those parties with such terms as "all plaintiffs," "the defendants," "the plaintiffs A, B, et al.," or "all defendants except X." A notice of appeal filed pro se is filed on behalf of the party signing the notice and the signer's spouse and minor children, if they are parties, unless the notice of appeal clearly indicates a contrary intent. In a class action, whether or not the class has been certified, it is sufficient for the notice to name one person qualified to bring the appeal as representative of the class. A notice of appeal also must designate the judgment, order, or part thereof appealed from, and must name the court to which the appeal is taken. An appeal will not be dismissed for informality of form or title of the notice of appeal, or for failure to name a party whose intent to appeal is otherwise clear from the notice. Form 1 in the Appendix of Forms is a suggested form for a notice of appeal.

(d) Serving the Notice of Appeal.—The clerk of the district court shall serve notice of the filing of a notice of appeal by mailing a copy to each party's counsel of record

(apart from the appellant's), or, if a party is not represented by counsel, to the party's last known address. The clerk of the district court shall forthwith send a copy of the notice and of the docket entries to the clerk of the court of appeals named in the notice. The clerk of the district court shall likewise send a copy of any later docket entry in the case to the clerk of the court of appeals. When a defendant appeals in a criminal case, the clerk of the district court shall also serve a copy of the notice of appeal upon the defendant, either by personal service or by mail addressed to the defendant. The clerk shall note on each copy served the date when the notice of appeal was filed and, if the notice of appeal was filed in the manner provided in Rule 4(c) by an inmate confined in an institution, the date when the clerk received the notice of appeal. The clerk's failure to serve notice does not affect the validity of the appeal. Service is sufficient notwithstanding the death of a party or the party's counsel. The clerk shall note in the docket the names of the parties to whom the clerk mails copies, with the date of mailing.

(e) Payment of Fees.—Upon the filing of any separate or joint notice of appeal from the district court, the appellant shall pay to the clerk of the district court such fees as are established by statute, and also the docket fee prescribed by the Judicial Conference of the United States, the latter to be received by the clerk of the district court on behalf of the court of appeals.

Federal Rule of Civil Procedure 23. Class Actions

(a) Prerequisites to a Class Action. One or more members of a class may sue or be sued as representative parties on behalf of all only if (1) the class is so numerous that joinder of all members is impracticable, (2) there are questions of law or fact common to the class, (3) the claims or defenses of the representative parties are typical of the claims or defenses of the class, and (4) the representative parties will fairly and adequately protect the interests of the class.

(b) Class Actions Maintainable. An action may be maintained as a class action if the prerequisites of subdivision (a) are satisfied, and in addition:

(1) the prosecution of separate actions by or against individual members of the class would create a risk of

(A) inconsistent or varying adjudications with respect to individual members of the class which would establish incompatible standards of conduct for the party opposing the class, or

(B) adjudications with respect to individual members of the class which would as a practical matter be dispositive of the interests of the other members not parties to the adjudications or substantially impair or impede their ability to protect their interests; or

(2) the party opposing the class has acted or refused to act on grounds generally applicable to the class, thereby making appropriate final injunctive relief or corresponding declaratory relief with respect to the class as a whole; or

(3) the court finds that the questions of law or fact common to the members of the class predominate over any questions affecting only individual members, and that a class action is superior to other

available methods for the fair and efficient adjudication of the controversy. The matters pertinent to the findings include: (A) the interest of members of the class in individually controlling the prosecution or defense of separate actions; (B) the extent and nature of any litigation concerning the controversy already commenced by or against members of the class; (C) the desirability or undesirability of concentrating the litigation of the claims in the particular forum; (D) the difficulties likely to be encountered in the management of a class action.

(c) Determination by Order Whether Class Action to be Maintained; Notice; Judgment; Actions Conducted Partially as Class Actions.

(1) As soon as practicable after the commencement of an action brought as a class action, the court shall determine by order whether it is to be so maintained. An order under this subdivision may be conditional, and may be altered or amended before the decision on the merits.

(2) In any class action maintained under subdivision (b)(3), the court shall direct to the members of the class the best notice practicable under the circumstances, including individual notice to all members who can be identified through reasonable effort. The notice shall advise each member that (A) the court will exclude the member from the class if the member so requests by a specified date; (B) the judgment, whether favorable or not, will include all members who do not request exclusion; and (C) any member who does not request exclusion may, if the member desires, enter an appearance through counsel.

(3) The judgment in an action maintained as a class action under subdivision (b)(1) or (b)(2), whether or not favorable to the class, shall include and describe those whom the court finds to be members of the class.

The judgment in an action maintained as a class action under subdivision (b)(3), whether or not favorable to the class, shall include and specify or describe those to whom the notice provided in subdivision (c)(2) was directed, and who have not requested exclusion, and whom the court finds to be members of the class.

(4) When appropriate (A) an action may be brought or maintained as a class action with respect to particular issues, or (B) a class may be divided into subclasses and each subclass treated as a class, and the provisions of this rule shall then be construed and applied accordingly.

(d) Orders in Conduct of Actions. In the conduct of actions to which this rule applies, the court may make appropriate orders: (1) determining the course of proceedings or prescribing measures to prevent undue repetition or complication in the presentation of evidence or argument; (2) requiring, for the protection of the members of the class or otherwise for the fair conduct of the action, that notice be given in such manner as the court may direct to some or all of the members of any step in the action, or of the proposed extent of the judgment, or of the opportunity of members to signify whether they consider the representation fair and adequate, to intervene and present claims or defenses, or otherwise to come into the action; (3) imposing conditions on the representative parties or on intervenors; (4) requiring that the pleadings be amended to eliminate therefrom allegations as to representation of absent persons, and that the action proceed accordingly; (5) dealing with similar procedural matters. The orders may be combined with an order under Rule 16, and may be altered or amended as may be desirable from time to time.

(e) Dismissal or Compromise. A class action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or com-

promise shall be given to all members of the class in such manner as the court directs.

Federal Rule of Civil Procedure 23.1. Derivative Actions by Shareholders

In a derivative action brought by one or more shareholders or members to enforce a right of a corporation or of an unincorporated association, the corporation or association having failed to enforce a right which may properly be asserted by it, the complaint shall be verified and shall allege (1) that the plaintiff was a shareholder or member at the time of the transaction of which the plaintiff complains or that the plaintiff's share or membership thereafter devolved on the plaintiff by operation of law, and (2) that the action is not a collusive one to confer jurisdiction on a court of the United States which it would not otherwise have. The complaint shall also allege with particularity the efforts, if any, made by the plaintiff to obtain the action the plaintiff desires from the directors or comparable authority and, if necessary, from the shareholders or members, and the reasons for the plaintiff's failure to obtain the action or for not making the effort. The derivative action may not be maintained if it appears that the plaintiff does not fairly and adequately represent the interests of the shareholders or members similarly situated in enforcing the right of the corporation or association. The action shall not be dismissed or compromised without the approval of the court, and notice of the proposed dismissal or compromise shall be given to shareholders or members in such manner as the court directs.

Federal Rule of Civil Procedure 24. Intervention

(a) Intervention of Right. Upon timely application anyone shall be permitted to intervene in an action: (1) when a statute of the United States confers an unconditional right to intervene; or (2) when the applicant

claims an interest relating to the property or transaction which is the subject of the action and the applicant is so situated that the disposition of the action may as a practical matter impair or impede the applicant's ability to protect that interest, unless the applicant's interest is adequately represented by existing parties.

(b) Permissive Intervention. Upon timely application anyone may be permitted to intervene in an action: (1) when a statute of the United States confers a conditional right to intervene; or (2) when an applicant's claim or defense and the main action have a question of law or fact in common. When a party to an action relies for ground of claim or defense upon any statute or executive order administered by a federal or state governmental officer or agency or upon any regulation, order, requirement, or agreement issued or made pursuant to the statute or executive order, the officer or agency upon timely application may be permitted to intervene in the action. In exercising its discretion the court shall consider whether the intervention will unduly delay or prejudice the adjudication of the rights of the original parties.

(c) Procedure. A person desiring to intervene shall serve a motion to intervene upon the parties as provided in Rule 5. The motion shall state the grounds therefor and shall be accompanied by a pleading setting forth the claim or defense for which intervention is sought. The same procedure shall be followed when a statute of the United States gives a right to intervene. When the constitutionality of an act of Congress affecting the public interest is drawn in question in any action in which the United States or an officer, agency, or employee thereof is not a party, the court shall notify the Attorney General of the United States as provided in Title 28, U.S.C. § 2403. When the constitutionality of any statute of a State affecting the public interest is drawn in question in any action in which that State or any agency, officer, or employee thereof is not a party, the court shall notify the

attorney general of the State as provided in Title 28, U.S.C. § 2403. A party challenging the constitutionality of legislation should call the attention of the court to its consequential duty, but failure to do so is not a waiver of any constitutional right otherwise timely asserted.